

9708/11/M/J/24

1-C

A worker earns **\$40 per hour** and decides to visit a museum for three hours. The opportunity cost of visiting the museum is **\$120**, which is the income foregone from not working those three hours. Opportunity cost in economics is defined as the value of the next best alternative foregone. Since she could have earned \$40 per hour during those three hours, her total forgone income is $3 \times \$40 = \120 . This is the real economic cost of her choice

2-D:

Capital: The increased use of automated machinery means a higher reliance on capital, such as robots and computerised systems, raising capital's relative importance.

Land: Larger factory sites require more physical space, and as firms expand or relocate to bigger rural areas, the relative use of land rises.

Enterprise: With fewer firms in the industry, there are fewer entrepreneurs or key decision-makers, so the relative need for enterprise declines.

Labour: Automation reduces the need for manual work, especially in repetitive tasks, causing a fall in the relative use of labour.

Therefore, option D is correct as it reflects increased use of land and capital, and decreased use of enterprise and labour.

3-A:

Fertilisers are least likely to be classed as 'land' because in economics, 'land' refers specifically to natural resources that occur in nature without human intervention. Fertilisers are manufactured chemical inputs and are therefore classified as capital goods rather than natural resources. They are used in production but are not gifts of nature.

Option B, fisheries, refers to natural bodies of water and the fish within them, which qualify as natural resources. Option C, forests, are clearly natural resources as they exist independently of human production. Option D, coal, is a classic example of a non-renewable natural resource and is firmly within the category of 'land'.

4-B:

The concept of scarcity applies to fossil fuels because their supply is insufficient to meet human wants indefinitely, given that they are finite and depletable. **Scarcity in economics arises when resources are limited relative to their demand, and fossil fuels are a prime example of this since their natural reserves are exhaustible and cannot be replenished within a human timeframe.** Hence, key B is correct.

Option A is incorrect because demand fluctuations do not define scarcity—they affect price, not availability. Option C, which focuses on pollution restrictions, refers to policy interventions, not the core economic issue of limited supply. Option D, mentioning replacement by renewables, is about substitution, not scarcity itself.

5-C:

A point within the production possibility curve (PPC) shows that the economy is using its resources inefficiently, but it still reveals the **actual quantities** of the two goods being produced. The economist can directly observe this combination, even if it's not on the efficiency frontier. Therefore, only the **level of output of two goods** can be conclusively known from such a point. Hence key C is correct.

A- The PPC says nothing about trade. Whether the economy imports, exports, or is self-reliant cannot be inferred from a point within the curve.

B – Competitiveness depends on global prices, quality, productivity, and demand, none of which are reflected in the PPC.

D – Growth is shown by an **outward shift** of the PPC over time, not by a static point inside it. So the rate of growth cannot be determined just from this position.

6-C:

The demand curve for cinema movies would shift to the left if the cost of transport to the cinema increases. Transport is a complementary cost associated with attending the cinema. An increase in such a cost reduces the attractiveness of going to the cinema, thus decreasing demand at each price level, leading to a leftward shift.

Option A is incorrect because heating system expenses are borne by the supplier and would affect supply, not demand. Option B, scriptwriter fees, are also production costs and shift supply. Option D, taxes on income of cinema operators, again affects income of the cinema owners but does not alter demand for cinema movies by the general public.

7-D:

Firm	Market Share @ \$20	Qty Supplied @ \$20 (50 × %)	Market Share @ \$40	Qty Supplied @ \$40 (100 × %)	Change in Qty
A	10%	50 × 10% = 5 units	10%	100 × 10% = 10 units	+5 units
B	20%	50 × 20% = 10 units	50%	100 × 50% = 50 units	+40 units
C	30%	50 × 30% = 15 units	20%	100 × 20% = 20 units	+5 units
D	40%	50 × 40% = 20 units	20%	100 × 20% = 20 units	0 units

8-A:

An inferior good has a negative relationship with income and a negative relationship with price.

As income rises, demand falls, because consumers switch to better alternatives. However, like most goods, quantity demanded still contracts when price increases, in line with the law of demand. (They don't defy law of demand)

Therefore, the correct description is that inferior goods respond negatively to income changes and negatively to price changes. Hence key A is correct.

9-B:

The correct definition of consumer surplus is the difference between what consumers are willing to pay and what they actually pay.

Producer surplus is the difference between what producers receive and the minimum they would be willing to accept. These surpluses reflect gains from trade for both sides of the market. Hence key B is correct.

A) The consumer surplus explanation here is flawed because it refers to comparing a good's value to the next best alternative. That reflects opportunity cost, not consumer surplus, which is about willingness to pay versus price paid. The producer surplus part is also wrong: it discusses the difference between actual and profit-maximising revenue, which is a misunderstanding.

C) This option gets consumer surplus right : it correctly identifies the gap between willingness to pay and price paid. However, the producer surplus explanation repeats the same mistake as in Option A by focusing on revenue differences.

D) The consumer surplus explanation here is incorrect because it again confuses it with opportunity cost; the comparison with the next best alternative. While the producer surplus part is correctly described, the row fails because both statements must be accurate to be valid.

10-B:

A negative income elasticity of demand of -3.0 indicates the good is a strongly inferior good. Negative sign of YED represents an inferior good.

In a recession, where incomes fall, demand for inferior goods would increase significantly. Therefore, the firm's total revenue would increase during a downturn, as demand for its product grows with falling incomes. This is typical for goods like budget food or second-hand products.

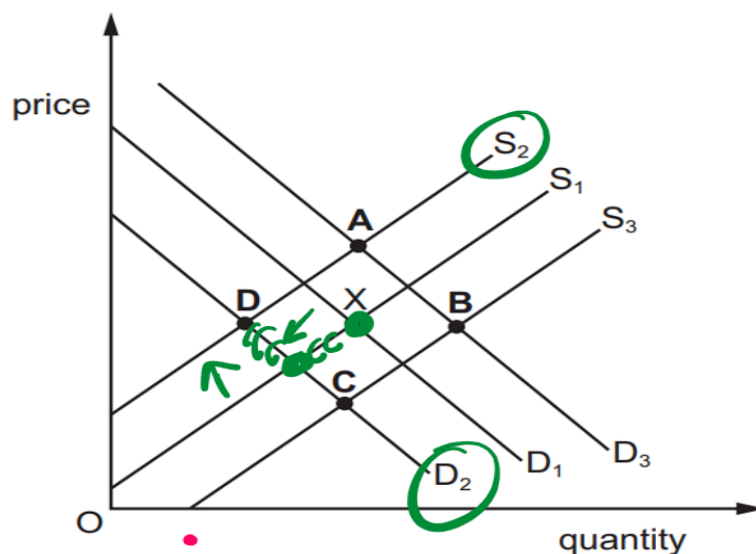
Option A is incorrect because in economic growth, rising incomes reduce demand for inferior goods, hence leading to total revenues to decrease.

Option C and D focus on price elasticity and substitute availability, which are unrelated to income elasticity.

11-D:

In the event of a global recession, when there is a fall in world incomes. As a result of this, the demand for global air cargo will decrease, since it is a normal good. This means that there will be a leftward shift in the demand curve from D_1 to D_2 .

Furthermore, an increase in fuel costs would increase costs of providing the service, thereby leading to a decrease in supply of global air cargo. This means that there will be a leftward shift of the supply curve from S_1 to S_2 .



12-D:

The food given freely to poor households is a normal good because it is a private, excludable item, even though it is provided at zero cost. Its classification depends on its nature, not its price. The fact that it is consumed by individuals and would otherwise have a price makes it a normal good in economic terms. Hence key D is correct.

Option A is incorrect because a free good is one with no opportunity cost, such as air. Food is scarce and has opportunity cost.

Option B is incorrect because public goods are non-excludable and non-rival, which does not apply here.

Option C is wrong because food is not harmful, so it is not a demerit good.

13-C:

If the government wants to raise farmers' incomes without increasing food prices for consumers, the best policy is to provide a production subsidy. **A subsidy reduces production costs, allowing the farmers to earn more. Most importantly, it also increases supply and creates a surplus, thereby helping to maintain a lower price in the market.**

This exactly explains why it improves producer welfare without harming consumers. Hence key C is correct.

Option A, a maximum price, would reduce food prices, thereby lowering farmers' incomes.

Option B, a minimum price below market level, has no effect. For a minimum price to be effective, it must be imposed above the equilibrium.

Option D, releasing food stocks, increases supply and would actually reduce prices further, possibly harming farmers.

14-C:

Option C is correct because it makes a normative claim by describing the income distribution as "unfair." This introduces a value judgment about equity and reflects an opinion on how income ought to be distributed. Hence key C is correct.

Option A is incorrect because it presents a factual observation about the relationship between income growth and price increases. This can be analysed using real income data and involves no judgment about whether the situation is good or bad, making it a positive economic statement.

Option B is incorrect as it refers to a measurable rise in energy prices over the past year. The statement is objective, based on empirical data, and does not involve any opinion, so it remains within the scope of positive economics.

Option D is incorrect because it identifies a specific trend in real income among the poorest households.

15-C:

To calculate equilibrium real output, we use the national income identity: $Y = C + I + G + (X - M)$.

Substituting the values: $Y = 140 + 100 + 70 + (30 - 40) = 300$. Therefore, the correct real output is \$300 billion.

16-D:

The correct answer is **D**. Net national income (NNI) is equal to gross national income (GNI) minus depreciation, also known as capital consumption. If NNI is lower than GNI, it implies that the country's fixed capital assets (like machinery, infrastructure, etc.) have experienced net depreciation. This means a portion of the capital stock has worn out or become obsolete over time and has been deducted to get the net figure.

Option A is incorrect because it refers to the balance of income from overseas, which affects net income from abroad, and hence impacts the gross national income. This does not explain why NNI is lower than GNI.

Option B is false because neither GNI nor NNI is adjusted for inflation; that would be the distinction between nominal and real national income, not gross national income and net national income.

Option C is irrelevant because changes in exports impact the trade balance and GDP as well but have no direct link to the NNI–GNI relationship.

17-B:

The correct answer is **B**. Frictional unemployment occurs when individuals are temporarily out of work while transitioning between jobs. In this case, Asha has declined a job offer because she is searching for a better-paying job. This clearly matches the definition of frictional unemployment, as it is voluntary, short-term, and based on improving job matches.

Option A is incorrect because cyclical unemployment arises due to a downturn in aggregate demand, not from voluntary job-seeking. It affects the economy on a broad scale during recessions, and Asha's case is personal and choice-based.

Option C, seasonal unemployment, is caused by predictable seasonal patterns such as tourism or agriculture cycles; Asha's decision has nothing to do with seasons.

Option D, structural unemployment, occurs when there is a mismatch between workers' skills and available jobs, typically due to technological change or industry decline, which also does not apply here.

18-B:

The correct answer is **B**. When a major trading partner enters recession, exports from country X fall, causing a reduction in aggregate demand. This leads to a fall in domestic output and employment. With reduced demand pressure in the economy, demand pull inflation is likely to fall as well. Therefore, the most likely result is a **decrease in inflation and an increase in unemployment**.

19-C:

A lower **price level** makes a country's goods and services relatively cheaper compared to those of other countries. This leads to increased exports and a higher demand for domestic goods from foreign consumers. This is known as the "exchange rate effect" and is one of the key reasons why the aggregate demand curve slopes downwards. **Hence key C is correct.**

A: The opposite actually happens. A fall in the price level often leads to lower interest rates. This is because lower prices decrease the demand for money, which in turn puts downward pressure on interest rates. The "interest rate effect" is another reason the aggregate demand curve slopes downwards.

B: A fall in the price level does increase the real value of money balances (meaning each unit of currency buys more goods and services), this effect enhances aggregate demand, not decreases it. This is a key reason for the downward slope of the AD curve.

D: The immediate reason for the downward slope of the curve is the current impact of lower prices on real wealth, interest rates, and exchange rates. Since expectations of further price falls could delay consumption, this pertains more to the deflationary spiral rather than the slope of the AD curve.

20-B:

The correct answer is **B. Expansionary monetary policy**, such as lowering interest rates or increasing money supply, is aimed at stimulating aggregate demand. This is particularly used in deflationary periods to increase consumption and investment by making borrowing cheaper and saving less attractive, thus boosting spending in the economy.

Option A is incorrect because expansionary monetary policy lowers the cost of borrowing, not raises it. Higher borrowing costs are a feature of contractionary monetary policy. Option C is wrong because lower interest rates tend to **depreciate** the exchange rate, not appreciate it, since capital outflows increase. Option D is incorrect because central banks (which conduct monetary policy) do not directly impact government debt; expansionary fiscal policy, not monetary, affects government borrowing levels.

21-D:

The correct answer is **D**. A budget deficit occurs when government spending exceeds its revenue. To finance this deficit, the government must borrow, which adds to the **national debt**.

Therefore, a persistent deficit implies a rising national debt unless offset by surpluses in other periods.

Option A is incorrect because a government budget surplus has no direct implication for the balance of payments, which deals with international trade and finance, not domestic fiscal balance. Option B is false because a surplus indicates that the government is **not** overspending; in fact, it is collecting more than it spends (tax revenues are greater than government spending). Option C is misleading because a budget deficit does not mean the economy is in decline—it may result from expansionary fiscal policy, which can lead to a boost in the economy by stimulating Aggregate demand.

22-B:

The correct answer is **B**. Expansionary fiscal policy involves increased government spending or lower taxes, which can boost aggregate demand. As a result, output and employment rise (**due to a rise in demand for labor**), particularly reducing **cyclical unemployment**, which is the result of insufficient demand for goods and services during downturns.

Option A is incorrect because a balance of payments deficit is more likely to widen with expansionary policy due to increased imports driven by higher spending by individuals of a country in event of a rise in disposable income.

Option C is wrong because the level of wages is not necessarily reduced; in fact, increased demand may push wages up over time.

Option D is inaccurate as expansionary fiscal policy tends to raise demand-pull inflation by stimulating Aggregate demand, not reduce it, due to demand-pull effect.

23-D:

The correct answer is D. A fall in the Consumer Prices Index (–0.6%) indicates deflation.

To restore price stability, the government would likely adopt policies that increase aggregate demand. Reducing interest rates encourages borrowing and consumption that can stimulate Aggregate demand, while increasing government spending directly boosts Aggregate demand. Together, these expansionary tools aim to raise the price level back toward the target.

Option A is incorrect because raising interest rates would dampen investment by raising the costs of borrowing and a rise in indirect taxes would raise prices, and subsequently real incomes, causing a reduction in aggregate demand, worsening the deflation.

Option B is wrong for the same reason: higher interest rates and lower spending would depress Aggregate demand.

Option C is false because reducing government spending and increasing taxes would contract the economy even further by dampening Aggregate demand, deepening deflation.

24-B:

The correct answer is **B**. Under a floating exchange rate, the value of the currency is determined by supply and demand in the foreign exchange market. This can lead to **volatile and unpredictable prices** for traded goods, especially in the short run, as currency fluctuations affect the cost of imports and exports. This unpredictability is a key disadvantage of a floating system.

Option A is incorrect because floating exchange rates means the government no longer has to worry about maintaining the exchange rate, which allows greater flexibility for domestic policy. It is fixed exchange rate regimes that restrict a country's ability to prioritise internal economic objectives. Option C is false because under a floating regime, the government does **not** need to hold large foreign exchange reserves to maintain the exchange rate. That obligation applies more to fixed or pegged systems. Option D is incorrect because floating exchange rates require **less**, not more, government intervention.

25-B:

The correct answer is **B**. Import subsidies are **not** a form of protectionism. Protectionism refers to measures that protect domestic producers from foreign competition, such as tariffs, quotas, and export subsidies. An **import subsidy** encourages the **purchase of foreign goods** by reducing their cost, which does the opposite of protecting domestic industries.

Option A is incorrect because export subsidies are a form of protectionism that helps domestic producers compete internationally. Option C is a classic protectionist tool, as quotas directly limit the quantity of imports. Option D, tariffs, are taxes on imports designed to make foreign goods less competitive, making them another standard protectionist measure.

26-C:

Option C is correct because it represents the combination where gains from specialisation and free trade are likely to be **smallest**, due to two limiting conditions:

First, **low mobility of factors of production between goods M and N** means that within each country, resources such as labour or capital cannot easily shift from producing one good to another. If, for example, Country X has a comparative advantage in good M but cannot move its labour or machines out of producing good N, it will not be able to fully specialise in good M. This reduces the efficiency and potential output gains from specialisation.

Second, **high mobility of factors between countries** means that labour or capital can freely move across borders. If workers or capital from the lower-cost country migrate to the higher-cost one, the cost differences that create comparative advantage will begin to disappear. As a result,

the very basis for trade weakens, because trade gains arise from differences in opportunity costs. High cross-border factor mobility tends to equalise those differences.

27-D:

Statement 1 is incorrect because an increase in the terms of trade from 100 to 120 means that the country's export prices have risen relative to its import prices. This is known as an **improvement**, not a deterioration. A deterioration would occur if the terms of trade fell below 100, meaning the country has to give up more exports to obtain the same imports. Therefore, statement 1 is false.

Statement 2 is correct because when the terms of trade improve, each unit of exports earns more in terms of imports. In other words, the country can now obtain the same quantity of imports with fewer exports. This improves the purchasing power of its exports, which is exactly what this statement describes. So statement 2 is true.

Statement 3 is incorrect because an improvement in the terms of trade **does not necessarily** lead to an improvement in the balance of payments. The balance of payments depends on the price elasticity of demand for exports and imports.

In fact, if export volumes fall significantly due to higher export prices (from improved terms of trade), export earnings could actually decline. So this statement makes an unwarranted assumption and is false.

Hence, only **statement 2** is correct, making **D** the right answer.

28-D:

Between 2016 and 2021, the Turkish lira **depreciated significantly** — falling from 2.83 TRY per USD to 8.15 TRY per USD. This means it took **more lira** to buy one dollar, so the value of the **lira weakened** sharply relative to the dollar.

Option D is correct because a sustained rise in Turkish inflation directly weakens the lira's value. Higher inflation makes Turkish goods more expensive relative to foreign goods. This leads to a **decline in foreign demand for Turkish exports** and a **rise in domestic demand for imports**. As Turkish consumers and firms purchase more imports, they must exchange lira for foreign currencies like the US dollar. This creates a **fall in the demand for lira** (fewer exports purchased by foreigners) and a **rise in the supply of lira** (more lira sold to obtain dollars). Together, these shifts in demand and supply in the foreign exchange market lead to a **depreciation of the lira**, consistent with the observed increase in the USD/TRY exchange rate from 2.83 to 8.15. This makes Option D the most plausible explanation.

Option A is incorrect because a sustained fall in the demand for Turkish imports would mean Turkish residents are buying fewer foreign goods. This would **reduce the need to convert lira**

into foreign currencies, lowering the supply of lira on the foreign exchange market. With less lira being sold and assuming other factors constant, the lira would tend to **appreciate**, not depreciate. Since the lira in fact weakened over this period, a fall in import demand cannot explain the observed exchange rate movement.

Option B is incorrect because a fall in Turkish government debt as a percentage of GDP would typically **increase investor confidence**. Lower public debt suggests improved fiscal discipline and lower default risk, which makes Turkish financial assets more attractive to foreign investors. As a result, the demand for the lira would likely **increase**, leading to a **strengthening** of the currency, not a weakening. This outcome contradicts the significant depreciation of the lira seen between 2016 and 2021.

Option C is incorrect because a sustained rise in Turkish interest rates would usually attract foreign capital, as investors seek higher returns. This would increase **demand for the lira**, leading to an appreciation, not a depreciation.

29-A:

The **balance on trade in goods** is calculated by subtracting the value of imports from exports. Exports of goods are recorded as a **credit of \$15,000 million**, while imports are a **debit of \$17,000 million**. This results in a **deficit of \$2,000 million**, as the country imported more goods than it exported ($15,000 - 17,000 = -2,000$).

The **balance on services** is found by comparing service credits and debits. The country earned **\$2,500 million from service exports** (credit) and paid **\$2,000 million for service imports** (debit). This gives a **services surplus of \$500 million** ($2,500 - 2,000 = +500$), meaning the country exported more services than it imported.

The **primary income balance** includes earnings on investments and wages. The country received **\$100 million in income from abroad** (credit) but paid **\$1,000 million in income to other countries** (debit). This leads to a **primary income deficit of \$900 million** ($100 - 1,000 = -900$).

The **secondary income balance** is provided directly as a **surplus of \$60 million**, meaning the country received more in net transfers (like remittances and aid) than it paid out.

Adding all four components together, the total current account balance is:

-2,000 (goods) + 500 (services) - 900 (primary income) + 60 (secondary income) = -2,340 million

30-D: In this mcq, we are interested in an option which highlights the disadvantage of tariffs.

Option D is correct because it is **not** an argument in favour of tariffs. Instead, it highlights a **drawback**. When a country imposes tariffs, its trading partners may retaliate by placing tariffs on its exports. This can lead to a **trade war**, harming exporters, reducing overall trade, and

damaging international economic relations. Since it presents a reason against using tariffs, this is the correct answer.

Option A is incorrect because raising revenue is a classic justification for tariffs. By taxing imports, the government earns income, especially in countries with weak tax systems. This makes tariffs a **useful source of government revenue**, particularly in developing economies.

Option B is incorrect because tariffs can help improve the **current account balance**. By making imports more expensive, they reduce import demand. This lowers import spending, helping to **narrow trade deficits** and support domestic industries, which is often a policy goal.

Option C is incorrect because tariffs are sometimes used in **bilateral negotiations** to improve a country's **terms of trade**. By pressuring the other country to lower their prices or accept higher ones, a country can end up **exchanging fewer exports for more imports**, gaining more value in trade, which supports this as a strategic argument for tariffs

